to the subsistence level. So this theory is closely associated with Malthusian Theory of Population. This theory holds that the wages of workers would not be above or below the subsistence level of the labourer and his family.

Criticism

1. Role of trade unions in collective bargainings was not found.
2. It does not explain the differences in wages in different occupations.
3. The assumption that population would increase with a rise in wage rate is not correct. Poor families (and countries) have more Children than rich families (countries).Actually, as wage rate increases, people can afford to downsize their family size for adopting costly family planning procedures; while poor people cannot do so.

6.7.2 Standard of Living Theory of Wages

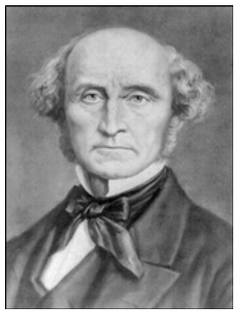
The Standard of Living Theory of Wages developed by Torrance is an improved and refined version of the Subsistence Theory of Wage. According to this theory, wage is equal to the standard of living of the workers. If standard of living is high, wages will be high and vice versa.

Standard of living wage means the amount necessary to maintain the labourer in the standard of life to which he is accustomed.

Criticism

1. According to this theory, the standard of living determines wages. But in actual practice, wages determine the standard of living.

6.7.3 Wage Fund Theory of Wages



This theory was first propounded by Adam Smith. But the credit goes to J.S.Mill who perfected this theory

According to Mill "every employer will keep a given amount of capital for payment to the workers". It is a known as "Wage Fund". It is fixed and constant. Wages depend directly upon the fund and inversely with number of labourers employed. The average wage of a worker can be calculated by using the formula.

$$\text{Average wage per worker} = \frac{\text{Total Wage Fund}}{\text{Number of Workers}}$$

If the number of workers increases, the wage per worker would fall and vice versa.

Criticism

1. It does not explain the difference in wages in different occupations.
2. It ignores the role of trade unions.
3. Actually the capitalists will take away a large sum before making payment of wages.

6.7.4 Residual Claimant Theory of Wage

This theory was propounded by the American economist F.A.Walkar in 1875,

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